SABLE HARBOR

ASSUMPTION OF RISK DOCTRINE

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Owner: Corporate Governance **| Related:** rapid adjudication, reserved matters, decision quality **| Cross-reference:** `CONTROL_DISSENT_AND_RAPID_ADJUDICATION.md`; `ASSUMPTION_OF_RISK_FORM.md`

Function

An Assumption of Risk is the formal act by which a properly authorized decision-maker proceeds after a material adverse finding while preserving the finding, evidence, ownership, and consequences. It is neither a waiver of law or control nor a ritual signature that transfers blame.

The instrument exists because a control function's serious dissent must receive institutional attention without automatically becoming a veto. It makes the actual decision legible: who accepted which exposure, under what authority, based on what evidence and assumptions, with what mitigations and stop conditions.

Preconditions

The relevant rapid-adjudication process has identified the specific action, material finding, accountable authority, immediate safeguards, and evidence reasonably needed for decision. A protected catastrophic-safety/operating or unlawful-conduct dispute remains paused until initial adjudication. The underlying action must be within the accepting office's lawful and delegated authority.

No person may assume exposure owned by another accountable party, expand the authority of office through the form, excuse unlawful conduct, or convert unknown/unbounded exposure into an accepted risk through labels alone. Where consequence belongs at a board-reserved or transformational band, only that authority can act.

Required institutional statement

The record identifies the decision and precise action; adverse finding and dissent; known evidence and provenance; important assumptions and unknowns; foreseeable consequences, including tail risks; mitigations, limits, stop conditions, and monitoring; authority relied upon; strategic-authorization owner; execution-quality owner; review/reopen triggers; effective time; and human attestation.

The statement is specific enough for a future reader to understand the ex-ante judgment. References may protect restricted evidence but may not make the rationale disappear.

Board and management ownership

When the board overrules management, the board owns strategic authorization risk and management owns execution quality. If Daniel or another executive formally dissents, that dissent remains in the institutional record. Good-faith execution does not become retroactive endorsement, and dissent does not authorize sandbagging.

If new material information arises, the decision may reopen. Reopening changes the current decision state; it does not rewrite the original knowledge, assumptions, or ownership.

Learning and review

Risk assumptions are reviewed at their stated triggers and after material outcomes. AAR practice evaluates the quality of the original reasoning separately from the outcome and asks whether an envelope, model, control, question, or Canon state should change. Repeated assumptions around the same boundary may indicate a defective control, unrealistic envelope, capability gap, or normalization of deviance and require systemic review.

The controlled form is `SH-GOV-RISK-001` in `ASSUMPTION_OF_RISK_FORM.md`.